

Accounting Business and Society

–Stockholders' Equity

WEEK8

Content

- 01** **Key concepts**
- 02** **Assessment**
- 03** **Tutorial Activity**

Key concepts

- 01 Major forms of business structures
- 02 Accounting for equity under different business structures
- 03 Understand how cash and share dividend are issued
- 04 Recording and reporting for share buybacks

1# Major forms of business structures

	Proprietorship	Partnership	Corporation
1. Owner(s)	Proprietor – one owner	Partners – two or more owners	Stockholders – generally many owners
2. Personal liability of owner(s) for business debts	Proprietor is personally liable	General partners are personally liable; limited partners are not	Stockholders are not personally liable

Extention: the Features of a Corporation

- Separate legal entity
- Continuous life and transferability of ownership
- Limited liability
- Separation of ownership and management
- Corporate taxation
- Government regulation

Extention: Advantages and Disadvantages of a Corporation

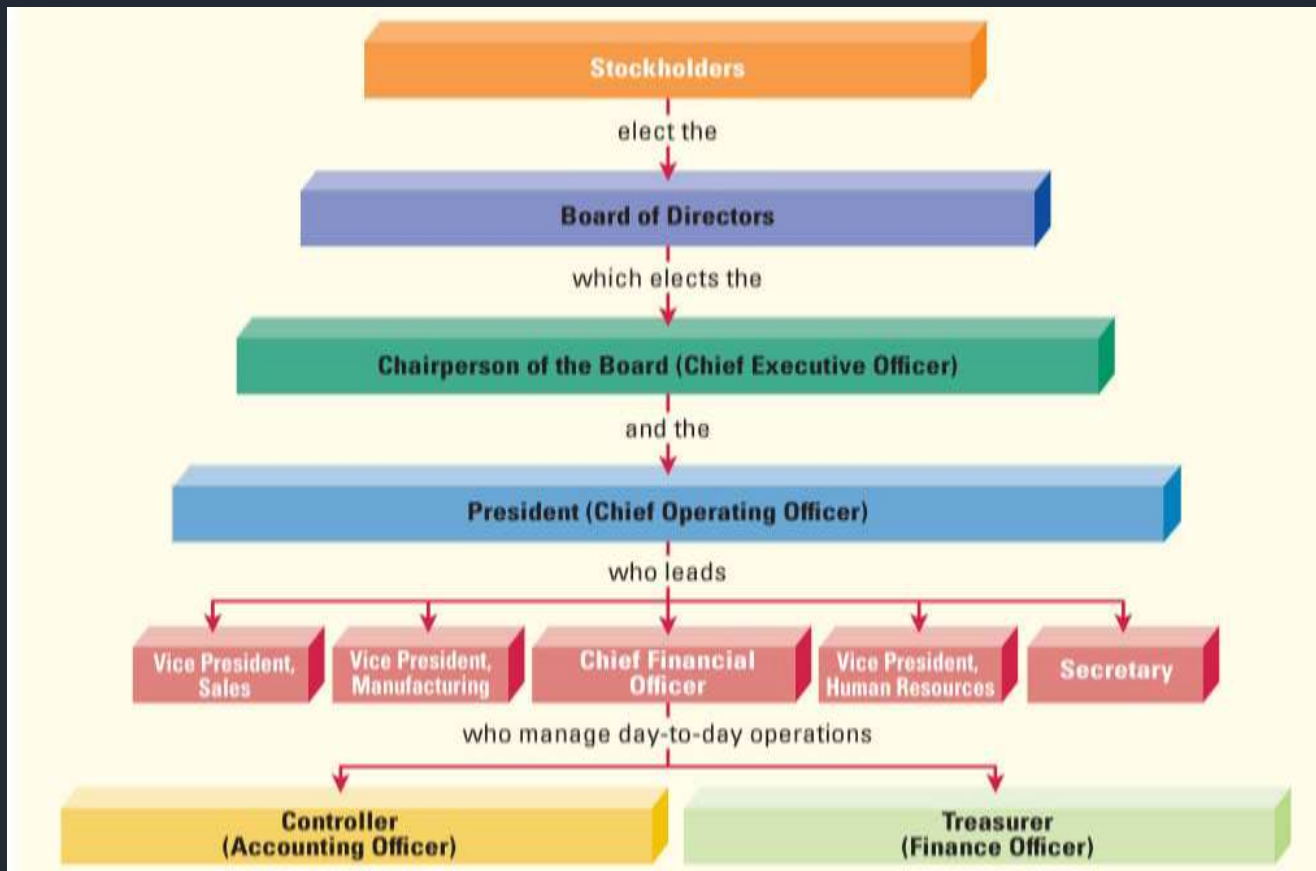
Advantages

1. Can raise more capital than a proprietorship or partnership can
2. Continuous life
3. Ease of transferring ownership
4. Limited liability of stockholders

Disadvantages

1. Separation of ownership and management
2. Double taxation of distributed profits
3. Government regulation

Extention: Authority Structure of a Corporation



Extention: the Features of a Corporation

Stockholders' Rights

- Vote → right to vote on matters that come before the stockholders
- Dividends → right to receive a proportionate part of any dividend
- Liquidation → right to receive a proportionate share of any assets remaining upon liquidation
- Preemption → right to maintain one's proportionate ownership in the corporation

Extention

Stockholders' Equity

- **Paid-in capital (contributed capital)**
 - Amount of stockholders' equity the stockholders have contributed to the corporation
 - Includes stock accounts and additional paid-in capital
- **Retained earnings**
 - Amount of stockholders' equity the corporation has earned through profitable operations
 - Reduced by dividends

Extention: Classes of Stock

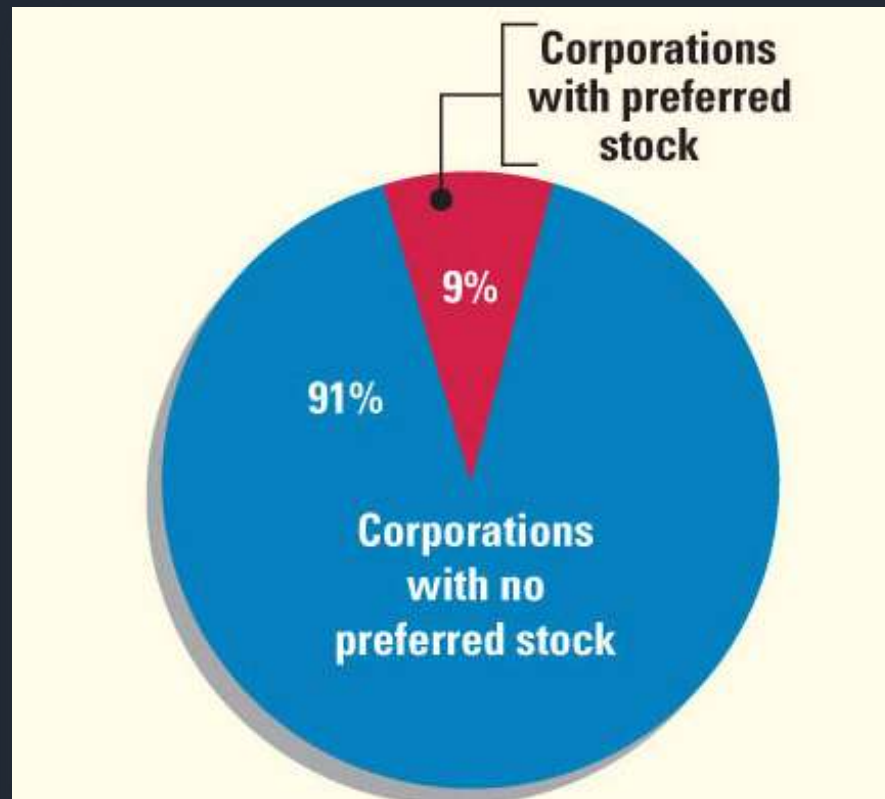
Common Stock

- Basic form of stock
- The owners of the corporation
- Four basic rights
- Stand to benefit most if corporation succeeds

Preferred Stock

- Certain advantages over common stock
 - Receive dividends first
 - Receive assets first in liquidation
- Four basic rights
- Rare in practice

Exhibit 10-4 Percentage of Corporations Issuing Preferred Stock



2# Accounting for equity under different business structures

□ Relatively similar in recording across different business structures

**Capital
Contribution
to Business**

Sole Proprietorship			Partnership			Company		
Accounts	Debit	Credit	Accounts	Debit	Credit	Accounts	Debit	Credit
Cash	xxx		Cash	xxx		Cash	xxx	
Owner's capital		xxx	Partner A, Capital		xxx	Issued Capital		xxx
			Partner B, Capital		xxx			

One capital account only

More capital accounts
depending on number of
partners

Various names for Capital :
paid-up capital, share
capital, issued capital...

2# Accounting for equity under different business structures

□ Different accounting treatments for Profit/loss at the end of the period for different business structures.

Treatment of Profit / Loss

Sole Proprietorship	Partnership	Company																					
- Profit/Loss for the year will be transferred to the owner as his personal income. - Owner will be taxed on the personal income	- Profit/Loss for the year will be allocated to each partner as a personal income. - Each partner will be taxed on the personal income.	- Profit/Loss for the year will be retained in the company under Retained Earning account. - Retained Earning is a permanent equity account																					
<table border="1"> <thead> <tr> <th>Accounts</th><th>Debit</th><th>Credit</th></tr> </thead> <tbody> <tr> <td>Retained Earning</td><td>xxx</td><td></td></tr> <tr> <td>Owner's capital</td><td></td><td>xxx</td></tr> </tbody> </table>	Accounts	Debit	Credit	Retained Earning	xxx		Owner's capital		xxx	<table border="1"> <thead> <tr> <th>Accounts</th><th>Debit</th><th>Credit</th></tr> </thead> <tbody> <tr> <td>Retained Earning</td><td>xxx</td><td></td></tr> <tr> <td>Partner A, Capital</td><td></td><td>xxx</td></tr> <tr> <td>Partner B, Capital</td><td></td><td>xxx</td></tr> </tbody> </table> Current Account might be used instead of Capital	Accounts	Debit	Credit	Retained Earning	xxx		Partner A, Capital		xxx	Partner B, Capital		xxx	Retained Earning will be reported under Balance Sheet
Accounts	Debit	Credit																					
Retained Earning	xxx																						
Owner's capital		xxx																					
Accounts	Debit	Credit																					
Retained Earning	xxx																						
Partner A, Capital		xxx																					
Partner B, Capital		xxx																					

2# Accounting for equity under different business structures

5

- Capital withdrawal will be processed differently depending on the business structure.

Capital Withdrawal

Sole Proprietorship	Partnership	Company																											
Cash withdrawal will reduce the capital of the owner in the business	Cash withdrawal will reduce the capital of the partner's in the business.	Cash withdrawal is in the form of Dividend payment from Retained Earnings.																											
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Current Account might be used instead of Capital

Extention

Account for the Issuance of Stock (1 of 12)

Common Stock at Par. Home Depot needs to raise \$100 million through issuance of stock. Suppose Home Depot's common stock had carried a par value equal to its issuance price of \$10 per share. The entry for issuance of 10 million shares of stock at par would be:

A1				
	A	B	C	D
1	Jan 8	Cash (10,000,000 × \$10)	100,000,000	
2		Common Stock		100,000,000
3		<i>To issue common stock.</i>		
4				

Extention:

Account for the Issuance of Stock (2 of 12)

Common Stock Above Par. Home Depot needs to raise \$100 million through issuance of stock. Suppose Home Depot's common stock had a par value of \$0.05. The entry for issuance of 10 million shares of stock at \$10 per share would be:

A1				
	A	B	C	D
1	Jul 23	Cash ($10,000,000 \times \$10$)	100,000,000	
2		Common Stock ($10,000,000 \times \$0.05$)		500,000
3		Paid-in Capital		
4		($10,000,000 \times \$9.95$)		99,500,000
5		<i>To issue common stock.</i>		
6				

Extention:

Account for the Issuance of Stock (3 of 12)

Common Stock Above Par. Stockholders' Equity section of The Home Depot, Inc.'s Balance Sheet might appear as follows (figures assumed):

A1		
	A	B
1	Stockholders' Equity	
2	Common stock, \$.05 par, 10 billion shares	
3	authorized, 10 million shares issued and outstanding	\$ 500,000
4	Paid-in Capital	99,500,000
5	Total paid-in capital	100,000,000
6	Retained earnings	500,000,000
7	Total stockholders' equity	\$ 600,000,000
8		

Extention:

Account for the Issuance of Stock (4 of 12)

No-Par Common Stock. Krispy Kreme Doughnuts, Inc., issues 64,926 million shares of no-par common stock for \$310,768,000. The entry is as follows (in millions):

A1				
	A	B	C	D
1	Apr. 1	Cash	310,768,000	
2		Common Stock		310,768,000
3		To issue no-par common stock.		
4				

Extention:

Account for the Issuance of Stock

No-Par Common Stock. Krispy Kreme Doughnuts, Inc., reports stockholders' equity on its balance sheet as follows (in millions):

A1		
	A	B
1	Stockholders' Equity	
2	(in millions)	
3	Common stock, no par, 300,000,000 shares	
4	authorized, 64,926,000 shares issued and outstanding	\$ 310,768,000
5	Accumulated deficit	(42,982,000)
6	Total stockholders' equity	\$ 267,786,000
7		

Extension:

Common Stock Issued for Assets Other Than Cash. On November 12, Kahn Corp. issued 15,000 shares of \$1 par common stock for equipment with a market value of \$4,000 and a building with a market value of \$120,000.

A1				
	A	B	C	D
1	Nov 12	Equipment	4,000	
2		Building	120,000	
3		Common Stock (15,000 × \$1)		15,000
4		Paid-in Capital in Excess of Par—Common		
5		(\$124,000 – \$15,000)		109,000
6		<i>To issue \$1-par common stock in exchange for</i>		
7		<i>equipment and a building.</i>		
8				

Extension

Common Stock Issued for Services. Kahn Corporation engages an attorney. The attorney bills the corporation \$25,000 for services and agrees to accept 2,500 shares of \$1 par common stock, in settlement of the fee. The fair market value of the stock is \$10 per share.

A1				
	A	B	C	D
1		Legal Expense	25,000	
2		Common Stock (2,500 × \$1 par)		2,500
3		Paid-in Capital in Excess of Par—Common		
4		(\$25,000 – \$2,500)		22,500
5				

Extention

Stock Issuance for Other Than Cash – Ethical Challenge. When corporations receive an asset other than cash, the corporation must record the asset received and the stock issued at fair market value. If software worth \$500,000 is received for common stock, the following entry would be appropriate:

A1				
	A	B	C	D
1		Software	500,000	
2		Common Stock		500,000
3		<i>Issued stock in exchange for software.</i>		
4				

Account for the Issuance of Stock

Authorized, Issued, and Outstanding Stock

- Authorized – maximum number of shares the company can issue under its charter
- Issued – number of shares the company has issued to its stockholders
- Outstanding – number of shares that the stockholders own
 - Issued stock – Treasury stock

3# How cash and share dividends are issued?

Retained Earnings

- Net income less net losses less dividends declared
- Accumulated over corporation's life
- Credit balance → lifetime earnings exceed lifetime losses and dividends
- Debit balance → lifetime losses and dividends exceed earnings (deficit)

3# How cash and share dividends are issued?

Dividends

- Distribution by a corporation to its stockholders, usually based on earnings
- Usually take one of three forms:
 - Cash
 - Stock
 - Noncash assets



3# How cash and share dividends are issued?

Cash Dividends

- Most common type of dividend
- Must have enough retained earnings to declare dividend and cash to pay the dividend
- Board of directors has the authority to declare
 - Corporation has no obligation until declared
- Three relevant dates:
 - Declaration date
 - Date of record

Payment date

3# How cash and share dividends are issued?

Declaration Date: On June 19, the board of directors declares a \$50,000 cash dividend. The company records the dividend as follows:

A1				
	A	B	C	D
1	Jun 19	Retained Earnings ³	50,000	
2		Dividends Payable		50,000
3		<i>Declared a cash dividend.</i>		
4				

3# How cash and share dividends are issued?

Date of Record: July 1 – As part of the declaration, the corporation announces the record date, which follows the declaration date by a few weeks. The stockholders on the record date will receive the dividend. There is **no journal entry** for the date of record.



3# How cash and share dividends are issued?

Payment Date. On July 10, the company paid the dividend declared on June 19. The entry to record the payment is as follows:

A1				
	A	B	C	D
1	Jul 10	Dividends Payable	50,000	
2		Cash		50,000
3		<i>Paid cash dividend.</i>		
4				

3# How cash and share dividends are issued?

Dividends on Preferred Stock

- Receive dividends before common stockholders
- Stated as either:
 - Percent of par value, or
 - Dollar amount per share
- May be cumulative
 - Receive all dividends in arrears before common stockholders get any dividend

3# How cash and share dividends are issued?

Dividends on Preferred Stock. The preferred stock of Avant Garde, Inc., is cumulative. Avant Garde passed the preferred dividend of \$150,000 in 2015. Before paying dividends to common in 2016, Avant Garde must first pay preferred dividends of \$150,000 for both 2015 and 2016—a total of \$300,000. On September 6, Avant Garde declares a \$500,000 dividend.

A1				
	A	B	C	D
1	Sep 6	Retained Earnings	500,000	
2		Dividends Payable, Preferred ($\$150,000 \times 2$)		300,000
3		Dividends Payable, Common ($\$500,000 - \$300,000$)		200,000
4		<i>To declare a cash dividend.</i>		
5				

3# How cash and share dividends are issued?

Share Dividends

- Proportional distribution of corporation's stock to its shareholders
- Increase Common Stock and Paid-in Capital in Excess of Par – Common
- Decrease Retained Earnings
- Total equity is unchanged

3# How cash and share dividends are issued?

Share Dividends

- Reasons for stock dividends:
 - Continue dividends, but conserve cash
 - Reduce the per-share market price of stock
- Small stock dividend
 - 25% or less
 - Record at market value
- Large stock dividend
 - Greater than 25%
 - Record at par value

3# How cash and share dividends are issued?

Share Dividends. The Home Depot declared and distributed a 10% common stock dividend on February 3, 2015. Home Depot had 1,307 million shares outstanding and the stock was trading for \$106 per share. Home Depot records the stock dividend:

A1				
	A	B	C	D
1	2015	Retained Earnings ⁴ (1,307,000,000 shares of		
2	Feb. 3	common outstanding $\times 0.10$ stock dividend $\times \$106$		
3		market value per share of common)	13,854,200,000	
4		Common Stock (1,307,000,000 $\times 0.10 \times \$0.05$		
5		par value per share)		6,535,000
6		Paid-in Capital		13,847,665,000
7		<i>Declared and distributed a 10% stock dividend.</i>		
8				

4# Understanding share buybacks

- **Treasury stock** – a company's own stock that it had issued and later reacquired
- Reasons to buy back treasury stock:
 - Need stock for distributions to employees
 - Buying its stock low and selling at a higher price
 - Avoid takeover
 - Increase earnings per share (EPS)
 - Repurchase program to return excess cash to shareholders

4# Understanding share buybacks

How is Treasury Stock Recorded?

- Recorded at cost on the date of purchase
- Disregard par value
- Contra stockholders' equity account
 - Debit balance
- Reported beneath Retained Earnings on the balance sheet

4# Understanding share buybacks

A1		
	A	B
1	The Home Depot, Inc. Stockholders' Equity February 2, 2014	
2	(in millions)	
3	Common stock	88
4	Paid-in capital	8,402
5	Retained earnings	23,180
6	Accumulated other comprehensive income	46
7	Treasury stock (381,000,000 shares)	(19,194)
8	Total stockholders' equity	\$ 12,522
9		

4# Understanding share buybacks

Treasury Stock. The following entry records the repurchase of 80 million shares for \$7 billion.

A1				
	A	B	C	D
1	2014	Treasury Stock	7,000,000,000	
2	Various	Cash		7,000,000,000
3		<i>Purchased treasury stock.</i>		
4				

4# Understanding share buybacks

Retirement of Treasury Stock

Accounts	Debit	Credit
Issued Capital	xxx	
Treasury stock		xxx

4# Understanding share buybacks

Resale of Treasury Stock

- Increases assets and equity by amount of cash received
- **Never** a gain or loss on treasury stock transactions
- Amounts received in excess (or short) of original amount paid are recorded as Paid-in Capital from Treasury Stock Transactions

4# Understanding share buybacks

Resale of Treasury Stock. On July 22, 2014, Home Depot resold a million shares of treasury stock for \$90 per share. Assuming that the average cost of treasury shares is \$87.50, the journal entry to record the resale of treasury shares would have been as follows:

A1				
	A	B	C	D
1	2014			
2	Jul 22	Cash	90,000,000	
3		Treasury Stock		87,500,000
4		Paid-in Capital from Treasury Stock Transactions		2,500,000
5		<i>Sold treasury stock.</i>		
6				

4# Understanding share buybacks

Summary of Treasury-Stock Transactions

- **Buying treasury stock** – assets and equity decrease by the cost of treasury stock purchased
- **Reselling treasury stock** – assets and equity increase by the sale price of treasury stock sold
- **Retiring treasury stock** – remove it from common stock and treasury

Assessment

Tutorial portfolio - Online quizzes:

This quiz is based on the week 8 learning materials. You may complete this anytime during week 8, you may use your study notes.

You have TWO attempts to complete this quiz.

Due time for your weekly quiz is on Canvas, please check it by yourself.